

# KN Agri Resources Ltd

Concall-Tracker report · Screener ticker KNAGRI (NSE) · 1 transcript available (FY22 — four years old) · recent period by web deep-dive · prepared 31 Aug 2026

## 1. Snapshot

**What the business does (one line):** KN Agri crushes **soybeans** — it buys the seed, extracts the oil, refines it into edible oil, and sells the leftover cake as animal feed, along with soy lecithin and wheat flour. Founded in 1987 and among **India's top five soybean processors**, it runs three plants in Madhya Pradesh. In plain terms: it is a commodity processor that makes a small, variable margin on the gap between what seed costs and what oil and meal sell for.

| Figure                        | Value                                               | Plain-English read                                                                                                                                                                                        |
|-------------------------------|-----------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Market capitalisation         | <b>₹544 cr</b> (price ₹217)                         | What the whole company is worth. The share has ranged ₹148–244 over the past year. Only about <b>1,450 shareholders</b> hold it — a very thinly held micro-cap.                                           |
| Price-to-earnings / book      | <b>15.2x</b> ; book value ₹154/share                | About 15 times last year's profit and 1.4 times the accounting value of the business. No dividend has ever been paid.                                                                                     |
| Q1 FY27 revenue (Jun'26 qtr)  | <b>₹509.1 cr, up 34.6% YoY</b>                      | Sales in the June 2026 quarter against ₹378 cr a year earlier. Genuinely strong — but measured against a weak base quarter.                                                                               |
| Q1 FY27 operating profit      | <b>₹21 cr, margin 4.1%</b>                          | Just over 4 paise of operating profit per rupee of sales — the best in five quarters, but still razor-thin. In this business the margin swings between 1.7% and 4.5% quarter to quarter on crush spreads. |
| Q1 FY27 net profit            | <b>₹13 cr, up 42.0% YoY</b>                         | Profit after tax. Earnings per share ₹5.37 for the quarter.                                                                                                                                               |
| FY26 (full year)              | <b>₹1,814 cr revenue, ₹31.7 cr profit</b>           | Revenue up 5.2% but <b>profit down 14.1%</b> . Growing sales while earning less is the defining pattern of a commodity spread business.                                                                   |
| <b>Versus FY22 (the peak)</b> | <b>₹1,885 cr revenue, ₹47 cr profit</b>             | <b>The single most important line in this report.</b> Four years on, FY26 revenue and profit are both <i>below</i> where they stood in FY22. Operating profit went ₹70 cr then to ₹51 cr now.             |
| Return on capital             | <b>ROCE 13.3%; ROE 8.58%</b>                        | Shareholders earn about 8.6% a year on their capital — around what a fixed deposit pays, for considerably more risk.                                                                                      |
| Debt                          | <b>₹34 cr, down from ₹110 cr</b>                    | <b>A genuine positive.</b> Borrowings have been cut by nearly 70% over two years. The balance sheet is clean and getting cleaner.                                                                         |
| Cash generation               | <b>FY25 –₹9 cr; FY26 –₹1 cr operating cash flow</b> | <b>The main concern.</b> Two consecutive years in which operations consumed rather than produced cash, despite reported profits of ₹37 cr and ₹32 cr. Working-capital days have risen from 50 to 66.      |
| Promoter holding              | <b>68.86%, unchanged for over a year</b>            | Stable and high — no selling. The promoters are the Shrishrimal family, who have run the business since 1987.                                                                                             |

## 2. Concall coverage

**Only one earnings-call transcript exists for this company — from May 2022, covering FY22.** Screener lists just two investor-call entries ever, the second (October 2022) without a transcript. On the available record, **KN Agri has not held a public earnings call in roughly four years.** The recent period is therefore covered by a global web deep-dive: results filings, exchange announcements, the annual report and published coverage. The 2022 transcript is still valuable — not as current information, but because it records what management said it would do, which can now be checked against four years of outcomes.

| Period                    | Source                                        | Coverage                                                       |
|---------------------------|-----------------------------------------------|----------------------------------------------------------------|
| H2 & FY22                 | Transcript, 25 May 2022                       | <b>Read in full</b> — the only management commentary available |
| FY23 → FY26               | Results filings, annual report, announcements | Web deep-dive — no calls held                                  |
| <b>Q1 FY27 (Jun 2026)</b> | <b>Results, Aug 2026</b>                      | <b>Web deep-dive — newly read</b>                              |

Sources used: the FY22 earnings-call transcript (25 May 2022); FY26 audited results (resubmitted 18 June 2026 — a rescan for readability, **not** a restatement of figures); Q1 FY27 results and coverage (August 2026); the FY25 annual report filed with NSE; the October 2024 announcement of a sugar and ethanol acquisition; industry coverage of the Nashik ethanol stake; and Screener.in financial statements, ratios and shareholding data.

### 2b. Latest update highlights — Q1 FY27 (results Aug 2026) ★

- **A good quarter by recent standards:** revenue **₹509.1 cr, up 34.6%**, and net profit **₹13 cr, up 42.0%**, with operating margin at **4.1%** — the best in five quarters. The comparison base was weak, however: Q1 FY26 was the softest quarter of that year at ₹378 cr.
- **The full-year picture is less encouraging.** FY26 revenue rose 5.2% to ₹1,814 cr while profit **fell 14.1%** to ₹31.7 cr. Margins over the past six quarters have swung between 1.7% and 4.5% with no trend — the hallmark of a crush-spread business rather than a growing one.
- **Four years of standing still.** In FY22 the company reported revenue of ₹1,885 cr, EBITDA of ₹70 cr and profit of ₹47 cr. FY26 delivered ₹1,814 cr, ₹51 cr and ₹32 cr. Every one of those figures is lower than it was four years earlier.
- **The balance sheet, by contrast, has genuinely improved:** borrowings cut from **₹110 cr to ₹34 cr** across two years, debtor days at just 12, and promoter holding steady at 68.86%. Set against that, operations consumed cash in both FY25 (–₹9 cr) and FY26 (–₹1 cr), and working-capital days rose from 50 to 66.
- **Note on the FY26 filing:** the audited results were resubmitted on 18 June 2026. The stated reason was a **rescan for readability** — a formatting issue, not a restatement. The reported profit of ₹31.68 cr was unchanged.

### 2c. Business mix & capacity (quick facts)

**Domestic vs export:** predominantly **domestic**. The output — refined edible oil, de-oiled cake for animal feed, soy lecithin and wheat flour — is sold largely into the Indian market. The company does not publish a domestic/export split, so none is quoted here.

**Product mix:** soybean value-added products, edible oils, animal-feed ingredients and lecithin. The economics are those of a crusher: revenue tracks the soybean price (which is why sales can rise while profit falls), and profit depends on the *spread* between seed cost and the combined value of oil and meal — a spread set by the monsoon, the global soybean crop, and import duties on palm and sunflower oil, none of which management controls.

**Capacity utilisation:** three plants in Madhya Pradesh comprising seed-processing units, **two oil refineries, two lecithin plants and a roller flour mill**. Stated capacity is **375,000 tonnes a year of solvent extraction, 60,000**

**tonnes of edible-oil refining and 24,000 tonnes of flour milling. Utilisation is not disclosed** and no figure is invented here. What can be said is that fixed assets have been flat at roughly ₹27–29 cr for three years with no capital work in progress at March 2026 — so no capacity expansion is currently being built, and any growth must come from running the existing plants harder or from better spreads.

### 3. Earning Trigger thesis ★

On the evidence, **there is no identifiable driver currently growing this company's earnings.** The core soybean crushing business is a spread business with no structural advantage on display: FY26 revenue, operating profit and net profit were all below FY22's, return on equity is 8.58%, and margins oscillate between 1.7% and 4.5% with no trend. What makes this a firm rather than a tentative conclusion is that management *has* named growth drivers over the years, and none of them has visibly arrived. On the FY22 call they described a ₹19 cr purchase of 26% in an ethanol holding company whose 100,000-litre-a-day plant would "soon be substantially enhanced" — four years later that unit is described at 120 kilolitres a day, a 20% increase, and it remains a minority stake contributing nothing to consolidated profit. The same call flagged a palm and sunflower oil project "estimated around ₹125 crores" — no evidence of it can be found in four years of filings, and fixed assets have not moved. In October 2024 the board approved what it called a "transformative deal" and "major strategic leap": a majority stake in a 3,000-tonne-a-day sugar and 300-kilolitre-a-day ethanol unit, with financial closure expected within 90 days. **Twenty-two months later no completion has been announced publicly, and the balance sheet shows investments falling from ₹29 cr to ₹23 cr rather than rising.** Q1 FY27 was a good quarter, but one strong crush spread against a weak base is not a trigger.

| Candidate trigger                    | What was said                                                                                                                | What has happened                                                                                                                       | Horizon | Strength             |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|---------|----------------------|
| Sugar & ethanol majority acquisition | Oct 2024: "transformative deal", 3,000 TCD sugar + 300 KL/day ethanol, financial closure in 90 days subject to due diligence | <b>No completion announced in 22 months.</b> Balance-sheet investments fell ₹29 cr → ₹23 cr; no new subsidiary or consolidation visible | Unknown | Unconfirmed          |
| Ethanol blending exposure (Nashik)   | FY22: ₹19 cr for 26% of an ethanol holding company; 100,000 litres/day "soon substantially enhanced"                         | Now cited at 120 KL/day — a 20% rise in four years. Still a <b>minority stake</b> , so no earnings consolidate into KN Agri             | Ongoing | Immaterial           |
| Palm / sunflower oil project         | FY22: project "estimated around ₹125 crores"                                                                                 | <b>No evidence of it in four years.</b> Fixed assets flat at ~₹29 cr; no capital work in progress at Mar 2026                           | —       | Not delivered        |
| Core soybean crushing scale          | Top-5 Indian processor; 375,000 TPA solvent extraction                                                                       | Real scale, but FY26 revenue and profit both below FY22. Utilisation undisclosed; no expansion under construction                       | Ongoing | Flat                 |
| Value-added products (lecithin, soy) | Two lecithin plants now in the asset base                                                                                    | Plausible margin-mix benefit, but no segment disclosure exists to size it, and blended margin has not risen                             | Unclear | Unquantifiable       |
| Deleveraging                         | —                                                                                                                            | <b>Genuinely delivered</b> — borrowings ₹110 cr → ₹34 cr                                                                                | Done    | Real, but not growth |

|                                                 |                                                                            |                                                                                                                                      |            |                 |
|-------------------------------------------------|----------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|------------|-----------------|
|                                                 |                                                                            | in two years, cutting interest cost and risk                                                                                         |            |                 |
| Crush spreads / monsoon (the real swing factor) | FY22 call discussed monsoon, soybean crop size and global prices at length | This, not strategy, explains the results. Q1 FY27's 4.1% margin and FY26's 2.8% are the same business in different spread conditions | Every year | Outside control |

## 4. Management Consistency scorecard

Read this as **limited but revealing**. Only one transcript exists (FY22), so there is little management commentary to grade — but that single call set out specific plans, and four years of outcomes are now available to check them against.

| Period          | What was promised / said                                                                                                            | What actually happened                                                                                                                              | Verdict                 |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| FY22 (May 2022) | Reported a record year — revenue ₹1,885 cr (+45%), EBITDA ₹70 cr (+59%), PAT ₹47 cr (+83%) — and framed it as a "growth trajectory" | <b>It was the peak, not a trajectory.</b> FY26 revenue ₹1,814 cr, EBITDA ₹51 cr, PAT ₹32 cr — all below FY22                                        | <b>Not sustained</b>    |
| FY22            | 26% ethanol stake; plant "soon be substantially enhanced" from 100,000 litres/day                                                   | 120 KL/day four years later — a 20% increase. Still minority, still non-consolidating                                                               | <b>Largely missed</b>   |
| FY22            | Palm/sunflower oil project "estimated around ₹125 crores"                                                                           | No public evidence it was built. Fixed assets unchanged; no capital work in progress                                                                | <b>Dropped / silent</b> |
| Oct 2024        | "Transformative deal" — majority stake in a 3,000 TCD sugar and 300 KL/day ethanol unit; financial closure within 90 days           | <b>No completion announcement traceable 22 months later.</b> No confirmation either way was found — the company has simply not said                 | <b>Unresolved</b>       |
| FY24 → FY26     | —                                                                                                                                   | <b>Borrowings cut from ₹110 cr to ₹34 cr</b> — a real, verifiable improvement in financial risk                                                     | <b>Delivered</b>        |
| Ongoing         | —                                                                                                                                   | Promoter holding steady at 68.86% with no selling; the founding family has run the business since 1987                                              | <b>Stable</b>           |
| Jun 2026        | —                                                                                                                                   | FY26 results resubmitted — but only a rescan for readability, with figures unchanged. <b>Not</b> a restatement                                      | <b>Benign</b>           |
| 2022 → 2026     | —                                                                                                                                   | <b>No earnings call held in roughly four years.</b> Shareholders have had no forum to ask about the unbuilt projects or the unconfirmed acquisition | <b>Disclosure gap</b>   |

**Narrative drift:** The drift here is not in the story but in the follow-through. There is nothing to suggest dishonesty — the promoters have not sold a share, the balance sheet has been genuinely strengthened, borrowings are down by two-thirds, and the one filing irregularity turned out to be a scanning problem rather than an accounting one. But the pattern across four years is of growth initiatives announced and then never mentioned again. An ethanol capacity that was to be "substantially enhanced" grew 20%. A ₹125 cr palm and sunflower project has left no trace in the fixed-asset schedule. A "transformative" sugar and ethanol acquisition, approved by the board with a stated 90-day closure, has produced no completion announcement in twenty-two months — and, notably, no cancellation

announcement either. Shareholders are left unable to tell which. Compounding this, the company appears to have stopped holding earnings calls entirely after October 2022, so there has been no occasion on which any of it could be asked about. With roughly 1,450 shareholders on the register, there may be little pressure to explain. The result is a company whose financial discipline is demonstrably good and whose strategic communication has effectively ceased.

## 5. Bottom line — two verdicts

### Durable earning trigger? → NO

This is a stable, conservatively financed commodity processor with no visible driver of earnings growth. The clearest evidence is the four-year comparison: FY22 delivered revenue of ₹1,885 cr, EBITDA of ₹70 cr and profit of ₹47 cr; FY26 delivered ₹1,814 cr, ₹51 cr and ₹32 cr. Every figure is lower. Return on equity is 8.58%, margins swing between 1.7% and 4.5% on crush spreads set by the monsoon and global soybean prices, and operations consumed cash in both of the last two years. Q1 FY27's 34.6% revenue rise and 4.1% margin are a genuinely better quarter, but they came against the weakest base quarter of FY26 and reflect a favourable spread rather than anything structural — there is no expansion under construction, fixed assets have been flat for three years, and no capital work in progress existed at March 2026. Each growth initiative management has named has failed to materialise visibly: the ethanol plant that was to be "substantially enhanced" grew 20% over four years and remains a non-consolidating minority stake; the ₹125 cr palm and sunflower project left no trace; the October 2024 "transformative" sugar and ethanol acquisition has had no completion announced in twenty-two months. This is not a distressed business — debt is down from ₹110 cr to ₹34 cr, the promoters own 69% and have not sold, and the profits are real. It simply has no engine. A verdict of No here means "no growth driver", not "no value".

### Management consistent? → MAYBE

This sits at Maybe rather than No for one reason: on everything financial and verifiable, management has done well. Borrowings have been cut by nearly 70% in two years, the promoter family has held 68.86% without selling a share, working capital is tightly managed at 12 debtor days, and the one apparent filing irregularity — a resubmission of the FY26 audited results — turned out to be a rescan for readability with figures unchanged. There is no sign of anything improper. What cannot be graded a Yes is the record on strategic promises, because every one of them has gone quiet. The ethanol plant that would be "substantially enhanced" grew a fifth in four years. A ₹125 cr project mentioned on the FY22 call has never been referred to again. Most significantly, a board-approved acquisition described in October 2024 as a "transformative deal" and a "major strategic leap", with financial closure expected within 90 days, has had *neither* a completion nor a cancellation announced in the twenty-two months since. Shareholders genuinely cannot tell what happened to it. The reason they cannot is the same reason this verdict is capped: **the company has held no earnings call since October 2022**, so there has been no forum in four years in which any of this could be asked. With roughly 1,450 shareholders, the accountability pressure is minimal. Financially disciplined, strategically silent — and silence is what stops this being a Yes.

Prepared from public sources on 31 Aug 2026. Only one earnings-call transcript exists for this company on Screener — H2 & FY22, dated 25 May 2022 — and it was read in full; no call appears to have been held since October 2022, so the FY23–Q1 FY27 period is a global web deep-dive covering results filings, the October 2024 acquisition announcement, the FY25 annual report, industry coverage of the Nashik ethanol stake, and Screener.in financial statements. The FY26 results resubmission of 18 June 2026 was a rescan for readability, not a restatement. Where the status of an announced project could not be established, this report says so rather than assuming an outcome. **This is not investment advice. Do your own due diligence.**